Required Report: Required - Public Distribution

Date: April 07, 2026

Report Number: UY2026-0003

Report Name: Oilseeds and Products Annual

Country: Uruguay

Post: Buenos Aires

Report Category: Oilseeds and Products

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Report Highlights:

Uruguay's soybean production is set to rebound sharply in MY2026/27 following a drought-reduced crop the prior year, with soybean production forecast to recover to 3.1 MMT on improved yields and a modest expansion in area to 1.3 MHA. Exports are projected to rise to 2.8 MMT, driven by sustained demand from China, while crush remains limited at 150,000 MT due to Uruguay's small crush capacity. Despite improved production prospects, producers continue to face tight margins amid low global prices, high input costs, and elevated land rents. Rapeseed area is forecast to expand 10 percent to 297,000 hectares as producers shift away from wheat and barley in response to weak returns and stronger vegetable oil prices. Uruguay's soymeal and soybean oil sectors remain small and import dependent, with little domestic demand growth.

Oilseeds

SOYBEANS

Production

Post forecasts Uruguay's planted soy area at 1.3 million hectares (MHA) in MY2026/27, up 50,000 hectares from the previous year.

Soybean production is forecast up substantially, but still within historic averages, to 3.1 MMT in MY2026/27 from the previous year as climactic conditions are expected to normalize and Uruguay recovers from a drought suffered during key stages in the production cycle in MY2025/26. This increased production is supported by a return more average yields of 2.4 MT/HA on a nationwide basis. An El Niño year is expected which generally brings a wetter season to Uruguay which could boost yields and production.

Soybeans in Soriano Department Early March

Source: Post FAS Buenos Aires

Soybeans are a well established and the dominant summer crop in Uruguay. Planted area generally fluctuates little as soybeans are widely regarded as the most manageable summer crop, requiring fewer interventions, less expensive seed, and consistently strong export demand over corn or other crops. These factors contribute to its reputation as a "safe bet," helping sustain robust planted area year after year.

Economically, producers face continued pressure from low global soy prices and persistently high input costs. Uruguay's production costs are higher than neighboring countries, and the country exports nearly all its soybeans, making producers highly vulnerable to international price fluctuations. Planted area in MY2026/27 will ultimately depend on global prices at harvest and in the months leading up to planting. Currently, Uruguayan farmers are overall in stable but tenable financial positions. Continued low prices have limited their margins over several years. With rented land accounting for more than 70 percent of soybean production it further constrains producers and makes it even more difficult to turn a profit.

Landlords continue to command high rents regardless of commodity prices, limiting farmers' profitability and expansion potential. The land rental market remains tight.

First-crop soybeans, typically planted in early November, account for 60 to 65 percent of total soybean area and have limited variation in acreage from year to year due to their perceived reliability. Second crop soy is typically planted in late December into January on fields planted with winter wheat following the harvest. Post forecasts reduced second soy planting in MY2026/27, due to a decline in winter wheat area, limiting double-cropping opportunities. Yields are projected at 2.5 to 2.6 tons/HA for first soybeans and 1.9 to 2.2 tons/HA for second soybeans, both within recent averages.

Uruguay's geography constrains potential soybean area expansion as much of the country's arable land is better suited for cattle grazing than row crops. Grain and oilseed production is concentrated in the western corridor particularly the departments of Soriano, Río Negro, and Colonia where soils are more fertile and closer to export infrastructure along the Uruguay River.

Soybean Planted Area by Department 2017-2025

Departamento	2017	2018	2019	2020	2021	2022	2023	2024	2025
Soriano	313.582	298.254	273.105	264.233	247.506	283.170	292.904	311.108	328.868
Colonia	161.667	162.596	148.886	146.925	144.887	159.989	155.017	176.262	194.402
Río Negro	208.343	165.396	158.229	157.781	147.435	153.710	164.528	179.847	193.257
Paysandú	143.897	119.677	112.767	117.294	109.249	124.134	142.156	138.315	144.943
San José	75.965	88.958	68.060	70.764	81.639	82.496	52.834	87.177	102.772
Flores	82.857	85.509	71.183	72.189	67.779	76.595	85.927	93.894	90.696
Durazno	65.554	76.546	57.210	52.161	52.442	57.581	64.884	64.065	70.921
Florida	44.199	57.660	43.034	51.518	67.037	46.826	44.957	52.580	51.258
Rocha	20.801	22.569	22.020	22.468	26.116	29.887	36.597	41.336	34.451
Treinta y Três	17.509	20.514	22.255	19.115	24.567	26.643	46.253	42.555	33.757
Cerro Largo	30.513	29.529	28.659	24.416	20.172	29.930	43.710	40.728	31.207
Tacuarembó	24.160	21.732	12.730	16.213	11.429	16.185	26.227	27.275	28.411
Canelones	17.113	23.889	20.150	21.991	30.569	21.659	16.062	23.903	26.280
Lavalleja	12.399	15.573	14.097	16.291	18.407	20.677	22.696	25.623	23.571
Rivera	12.343	7.210	6.180	7.591	6.871	9.567	15.998	14.118	10.796
Salto	20.972	12.238	15.510	11.994	6.889	13.434	11.995	12.320	8.543
Maldonado	6.350	5.896	5.038	4.360	4.464	5.734	7.309	5.433	5.230
Artigas	9.940	4.353	6.661	5.453	4.204	6.789	3.935	6.546	4.737
Montevideo	145	240	163	222	527	168	98	331	463
Total	**1.268.307**	**1.218.339**	**1.086.937**	**1.082.977**	**1.071.190**	**1.165.174**	**1.234.088**	**1.343.415**	**1.384.564**

Source: URUPOV

Crop expansion in the early 2000s was fueled by high commodity prices, the adoption of glyphosate-resistant soy, and Argentine investment. However, declining prices in the mid-2010s led to a reversion of land back to pasture, especially as Argentine owned operations downsized. This shift opened opportunities for local producers, many of whom operate diversified crop-livestock systems. A rebound in prices beginning in MY2019/20 brought land back into soybean production, but further expansion now appears constrained by the availability of suitable land and continued strong competition from livestock as beef and cattle prices remain high. At the same time, irrigated crop area continues to expand across the country, and roughly half of that area is used for soybeans. Official studies estimate that by 2030, Uruguay could increase irrigated crop area for corn and soybeans fivefold, to roughly 300,000 hectares, primarily incentivized by official policies.

Uruguayan law requires producers farming more than 50 hectares to submit soil management and crop rotation plans aimed at preventing degradation and overuse. This regulation, established to promote long-term soil health, discourages continuous soybean planting.

Weed resistance, particularly to amaranth, remains a growing challenge and further contributes to production costs despite compliance with rotational practices. Should prices fall further, some producers, especially those with mixed operations, may revert land back to pasture.

Soybeans in Colonia Department Mid-March

Source: Post FAS Buenos Aires

MY2025/26

MY2025/26 Uruguayan soybean production is revised down significantly to 1.95 MMT based on recent droughts that struck in a key period of the production stage across nearly all of the major production areas. Yields are forecast as low as 1.5 on a nationwide basis. Precipitation is forecast for early April but in most cases this rainfall will be too late to recover any lost yields or production. Production could fall even further if the forecasted rains at harvest come to fruition resulting in some fields unable to be harvested or beans beginning to sprout or rot.

In some of the most severely affected production areas, prospects for a recovery of some yield will be impossible, even in the event of late-season rainfall. Contacts report that in parts of the Dolores corridor, crop conditions have deteriorated to the point where additional precipitation would provide minimal benefit. There are already reports of some fields being total losses and will not be harvested. The extent of damage sustained during the critical development period remains to be seen but contact reports suggest production losses in these regions are largely irreversible for the current campaign.

In the western region which accounts for 80 percent of Uruguay's soybean production received no rain for eighty days after the last significant rainfall on January 10, and high temperatures creating significant crop stress during a crucial period in the vegetative and reproductive stages of the crop. This area includes the Departments of Soriano, Colonia, Rio Negro, Paysandu, and Flores though other areas were affected as well.
First crop soy will be in slightly better shape as it was further along in its development when the drought hit, but second crop soy will struggle with significantly diminished yields, with near total loss of second soy in some areas.

The harvest will be delayed this year due to the drought. Normally 25 percent of the crop would have been harvested already by mid-March, but this year only 5 percent was harvested as of writing.

Consumption and Crush

Post forecasts Uruguay's crush at 150,000 MT in MY2026/2027, a slight increase of 50,000 MT from the previous year supported by increased available supply as production recovers. Despite this slight increase Uruguay's soy industry remains overwhelmingly export oriented with limited domestic crush capacity. Higher operating costs and lack of infrastructure continue to limit the competitiveness of domestic crush relative to export markets. As a result, Post does not anticipate any meaningful expansion in crush capacity with no new investments or developments expected for the foreseeable future.

The country's only large-scale industrial crusher is operated by COUSA. The facility was originally constructed to meet demand created by Uruguay's 2007 biofuel law, which mandated a five percent biodiesel blend in diesel fuel. Under this framework, the plant held a supply contract with the state-owned biofuel company ALUR to process domestically produced soybean oil for biodiesel. However, since the repeal of the biofuel blending mandate in 2021, the plant has operated significantly below its nameplate capacity of 250,000 MT.

With the elimination of mandated blending, COUSA shifted a growing share of its processing capacity toward other oilseeds, notably sunflower and canola. Smaller-scale processors also operate in the country, primarily through extrusion rather than solvent extraction. These facilities focus on limited domestic production of soybean meal and oil, supplying niche local markets.

The elimination of the biodiesel mandate significantly reduced the economic rationale for domestic crushing. Nevertheless, the biofuel law allows ALUR to blend up to 2.5 percent biodiesel if export options are unavailable, though volumes remain far below prior levels. Before the policy change, Uruguay consumed approximately 50,000 liters of domestically produced biodiesel annually.

Many Industry contacts had expected policy changes under the new government on biodiesel mandates or production, however, no concrete actions have evolved to date, and there are no clear indications of near-term changes. Current government officials have signaled an intention to reinstate the five percent blend mandate. If implemented, this would generate additional domestic demand for approximately 200,000 MT of soybean oil annually.

Feed, seed, and residual use is forecast unchanged at 100,000 MT in MY2026/27. Domestic soybean consumption remains minimal and is primarily limited to seed use.

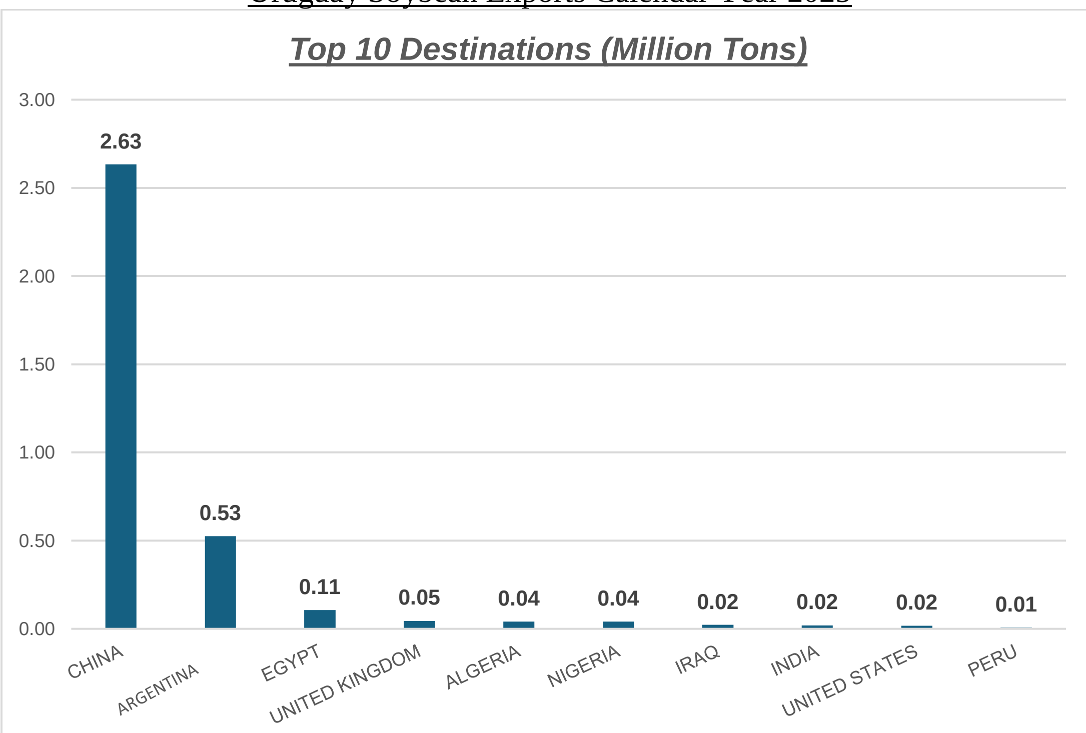
Trade

Soybean exports are forecast at 2.8 MMT up substantially from the year before as production recovers higher and continued demand from China for Uruguay's whole soybeans.

China is projected to remain the dominant buyer of Uruguayan soybean exports in MY2026/27, typically accounting for more than 80 percent of total shipments. This share is expected to remain stable or potentially increase closer to 90 percent, reflecting strong and consistent demand. Absent phytosanitary concerns related to foreign material (FM) and weed presence, exports to China would likely buy 100 percent of Uruguay's exports. China's preference for whole soybean imports, to be crushed domestically, continues to drive this trade.

Secondary destinations, including Egypt and Bangladesh, are expected to continue importing smaller volumes but no clear second major market has emerged. Egypt, a historically important but inconsistent buyer, re-emerged as Uruguay's third-largest market in 2025, though accounting for only four percent of total exports.

Uruguay Soybean Exports Calendar Year 2025



Source: FAS Buenos Aires with Nabsa Industry Data

One limitation for Uruguayan soybeans in international markets is the national standard of 14 percent moisture content, higher than preferred by most major importers, including China. The Grain Merchants Association (ACG) is actively advocating for a reduction in the national moisture standard to 13.5

percent or lower. Lowering the standard could enhance Uruguay's export competitiveness, particularly in Asia, and open additional premium markets.

Approximately 70 percent of Uruguay's soybean exports are shipped through Nueva Palmira, a key port on the Uruguay River that benefits from deep draft capacity and proximity to major growing regions. The remaining 30 percent are exported via the Port of Montevideo, which primarily serves as a transfer point for vessels partially loaded on the Paraná River system. Montevideo's share of exports could increase with improvements in port logistics and infrastructure investment.

Exports in MY2025/26 are revised down nearly 30 percent due to the poor crop and lower production.

Imports are forecast to grow slightly in MY2025/26 from Paraguay, it's traditional top supplier, with a some from Argentina to cover the production deficit but are expected to return to almost nothing in MY2026/27.

Stocks

Uruguay does not typically maintain large carryover stocks, as most production is sold directly to exporters shortly after harvest with little incentive for on farm storage. exported shortly after harvest. Producers typically market soybeans promptly to generate liquidity and finance input purchases for the next production cycle, resulting in negligible carryover stocks. Stocks that are held are primarily managed by large exporters rather than on-farm storage.

Oilseed, Soybean	2024/2025		2025/2026		2026/2027	
Market Year Begins	Apr 2025		Apr 2026		Apr 2027	
Uruguay	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	1345	1384	1300	1250	0	1300
Area Harvested (1000 HA)	1345	1384	1300	1250	0	1300
Beginning Stocks (1000 MT)	370	370	480	418	0	88
Production (1000 MT)	4200	4152	3100	1950	0	3100
MY Imports (1000 MT)	10	6	10	20	0	10
Total Supply (1000 MT)	4580	4528	3590	2388	0	3198
MY Exports (1000 MT)	3700	3800	2900	2100	0	2800
Crush (1000 MT)	200	200	170	100	0	150
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	200	110	150	100	0	100
Total Dom. Cons. (1000 MT)	400	310	320	200	0	250
Ending Stocks (1000 MT)	480	418	370	88	0	148
Total Distribution (1000 MT)	4580	4528	3590	2388	0	3198
Yield (MT/HA)	3.1227	3	2.3846	1.56	0	2.3846
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

RAPESEED

Post forecasts Uruguay's rapeseed area to increase by 10 percent in MY2026/27 to 297,000 hectares, driven by relatively favorable price prospects compared to wheat and barley. The expansion is expected to occur largely at the expense of competing winter crops, particularly wheat and barley, as producers adjust planting decisions in response to lower returns. As a result, production is forecast at 530,000 MT in MY2026/27 on the larger planted area. Some industry analysts, however, speculate rapeseed area could expand well above this current forecast, potentially by as much as an additional 60,000 hectares as producers shift away from wheat and barley with the memory of poor returns last year and in response to strong global vegetable oil prices buoying rapeseed prices.

Left: Rapeseed Right: Camelina in Western Uruguay

Source: Post FAS Buenos Aires

Despite the projected expansion, producers have yet to fully embrace adoption of rapeseed. Contacts describe the crop as inconsistent, with strong vegetative development often failing to translate into realized yields at harvest, contributing to perceived risk on the part of producers.
Post forecasts rapeseed production to expand in MY2026/27, supported by continued low soybean prices and relatively stronger returns for alternative oilseeds. As global demand for vegetable oils remains a primary driver of oilseed markets, rapeseed presents an attractive winter cropping option for producers, particularly when prices are favorable. Uruguay is also well positioned to serve niche markets, as its rapeseed production is entirely non-genetically engineered (non-GE), allowing access to premium demand in the European Union. Post industry contacts indicate that, under current market conditions, rapeseed production could increase by up to 15 percent over the next five years.

Planting of other winter oilseeds in Uruguay expanded over the past two seasons, however Post does not expect significant expansion going forward. Producers report that these crops present challenges within rotations and face marketing constraints, particularly due to small seed size and limited commercialization channels. Industry contacts estimate total combined area at approximately 40,000 hectares.

Area planted to carinata and camelina expanded over the past two seasons but is expected to decline in MY2026/27, as both producers and companies report slim or negative returns. Future expansion will depend largely on relative price competitiveness with alternative winter crops such as wheat and barley. While at least one multinational firm plans to continue planting carinata in the coming marketing year plantings, this is viewed as a longer-term strategic investment particularly linked to sustainable aviation fuel (SAF) development rather than a profitable near-term venture.

Oilseed, Rapeseed	2024/2025		2025/2026		2026/2027	
Market Year Begins	May 2025		May 2026		May 2027	
Uruguay	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	150	150	175	270	0	297
Area Harvested (1000 HA)	80	150	175	270	0	297
Beginning Stocks (1000 MT)	16	16	4	4	0	79
Production (1000 MT)	140	140	310	480	0	530
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	156	156	314	484	0	609
MY Exports (1000 MT)	105	105	170	250	0	300
Crush (1000 MT)	45	45	120	150	0	150
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	2	2	5	5	0	2
Total Dom. Cons. (1000 MT)	47	47	125	155	0	152
Ending Stocks (1000 MT)	4	4	19	79	0	157
Total Distribution (1000 MT)	156	156	314	484	0	609
Yield (MT/HA)	1.75	0.9333	1.7714	1.7778	0	1.7845
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Meals

SOY MEAL and SOY OIL

Uruguay’s soybean processing industry remains limited in scale, especially in comparison to neighboring Argentina and Paraguay. As a result, the country produces modest volumes of soymeal and soybean oil mostly for domestic consumption in the livestock industry, which itself is relatively small. Uruguay is a net importer of both products and remains heavily dependent on imports to meet domestic demand.

Production

Post forecasts soybean crush up in marketing year (MY) 2026/27 at 150,000 metric tons (MT), resulting in production of approximately 120,000 MT of soymeal and 28,000 MT of soybean oil. Despite this jump from the previous year, Uruguay’s crush represents less than 10 percent of its soybean production. The country’s crush capacity and infrastructure remain limited, with a single major industrial crushing facility located in Paysandú accounting for nearly the entire volume. No additional capacity expansions or new facility constructions are currently planned.

Consumption

Domestic soymeal consumption is minimal, reflecting the structure of Uruguay’s livestock industry, which is dominated by pasture-based beef production. The dairy, poultry, and swine sectors are the primary consumers of soymeal, but growth in demand is expected to gain only 5 percent in MY2026/27. Egg production will be the biggest driver of growth as the industry expands to meet increased protein demand. The poultry sector has shown modest expansion in recent years, accompanied by an increase in broiler slaughter and a more professionalized feed industry. The dairy industry, which had been impacted by low global milk powder prices and drought-induced reductions in pasture productivity, is expected to stabilize in the coming year.

Soybean oil consumption is similarly small, with household and food industry demand only partially met by domestic production. Imports continue to bridge the gap. Total annual soybean oil consumption is projected to remain stable, with any fluctuations driven primarily by global price trends and import availability rather than changes in underlying demand.

Trade

Due to its limited domestic crush capacity, Uruguay exports most of its soybean production as whole beans, while importing soymeal and soybean oil to satisfy domestic feed and food requirements. In MY2026/27, imports are expected to account for nearly 60 percent of soymeal consumption, sourced primarily from Argentina and Paraguay. Imported soymeal is utilized mainly in the dairy, poultry, and swine industries.

Uruguay Soy Complex Trade – Calendar Year 2025						
	Imports			Exports		
	Metric Tons	Change vs. 2024	Top Market	Metric Tons	Change vs. 2024	Top Market
Soybeans	3,854	-57%	Argentina	3,593,592	+31%	China
Soymeal	177,750	+6%	Paraguay	0	-100%	--
Soy Oil	1,364	-53%	Bangladesh	15,324	+86%	Bangladesh

Source: FAS Buenos Aires with Trade Data Monitor, Inc. and Industry Sources Data

Uruguay does export small quantities of processed soy products, primarily to regional markets. In calendar year 2025, Uruguay exported approximately 200,000 MT of soymeal and 40,000 MT of soybean oil, with Brazil and Chile being the primary destinations. These export volumes are closely tied to domestic processing capacity and fluctuate based on local crush levels. Since the opening of the Paysandú plant in 2014, imports of both soymeal and soy oil have declined, but Uruguay continues to rely on external sources to meet total demand.

Further expansion of soymeal and soybean oil exports is constrained by Uruguay's limited processing infrastructure and the highly competitive regional crush industry, particularly in Argentina. There are currently no government subsidies, tariffs, or regulatory mechanisms specific to soybean oil or meal that would either promote or restrict trade.

Meal, Soybean	2024/2025		2025/2026		2026/2027	
Market Year Begins	Apr 2025		Apr 2026		Apr 2027	
Uruguay	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	200	200	170	100	0	150
Extr. Rate, 999.9999 (PERCENT)	0.8	0.8	0.8	0.8	0	0.8
Beginning Stocks (1000 MT)	75	75	80	85	0	65
Production (1000 MT)	160	160	136	80	0	120
MY Imports (1000 MT)	200	200	300	300	0	315
Total Supply (1000 MT)	435	435	516	465	0	500
MY Exports (1000 MT)	5	0	5	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	350	350	420	400	0	420
Total Dom. Cons. (1000 MT)	350	350	420	400	0	420
Ending Stocks (1000 MT)	80	85	91	65	0	80
Total Distribution (1000 MT)	435	435	516	465	0	500
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Oil, Soybean Market Year Begins Uruguay	2024/2025 Apr 2025		2025/2026 Apr 2026		2026/2027 Apr 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	200	200	170	100	0	150
Extr. Rate, 999.9999 (PERCENT)	0.185	0.185	0.1882	0.19	0	0.1867
Beginning Stocks (1000 MT)	8	8	12	8	0	5
Production (1000 MT)	37	37	32	19	0	28
MY Imports (1000 MT)	1	1	5	7	0	2
Total Supply (1000 MT)	46	46	49	34	0	35
MY Exports (1000 MT)	15	19	15	10	0	13
Industrial Dom. Cons. (1000 MT)	1	1	1	1	0	1
Food Use Dom. Cons. (1000 MT)	18	18	18	18	0	18
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	19	19	19	19	0	19
Ending Stocks (1000 MT)	12	8	15	5	0	3
Total Distribution (1000 MT)	46	46	49	34	0	35
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Attachments:

No Attachments